

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$108.13 ▲ 13.70%	12M Price Target \$125.00	52-Week Range \$63.52 – \$153.86	Market Cap \$97.22B
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HOOD: Retail Mania Returns, Crypto Rules Loosen

WHAT HAPPENED

- HOOD ripped +13.7% Friday on monster volume (50M shares, roughly 2x normal) — the trigger was CEO Vlad Tenev saying retail trading activity is now BEATING the GameStop/2021 meme-stock peak. That's a huge deal because Robinhood makes money on transaction volume, so more trading = more revenue, mechanically.
- Two policy tailwinds hit the tape at once: NYSE and Nasdaq are formally pushing for 23-hour trading (Robinhood already offers 24-hour trading on select names, so they're ahead of the curve), and the SEC is quietly softening crypto rules even though the CLARITY Act is stalled in Congress.

WHY IT MATTERS

The stock isn't just riding sentiment — the underlying business is firing on all cylinders in a way that Wall Street underestimated. If retail activity is genuinely above 2021 levels, Q3 earnings (out in October) are going to blow past estimates, and analysts will scramble to raise numbers. The 23-hour trading push matters because Robinhood's app-first, mobile-native platform is built for exactly this — legacy brokers like Schwab have to retrofit their tech, while HOOD is already there. And here's the underappreciated part: with the CLARITY Act (the big crypto rules bill) stuck, the SEC is doing regulation by enforcement selectively — which actually favors incumbents like HOOD that have already built compliance infrastructure over new crypto entrants.

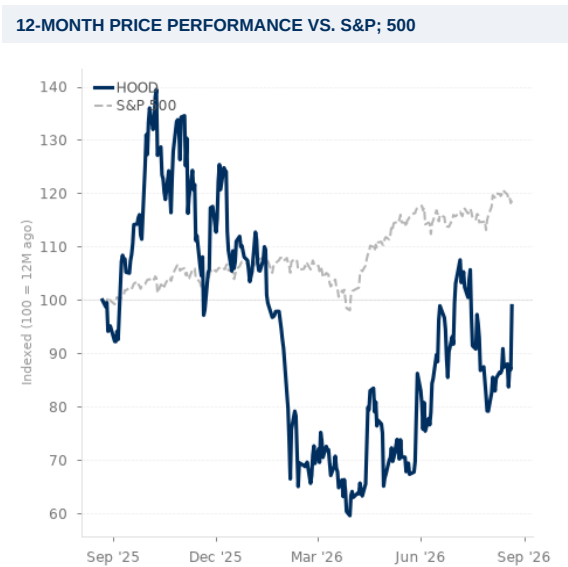
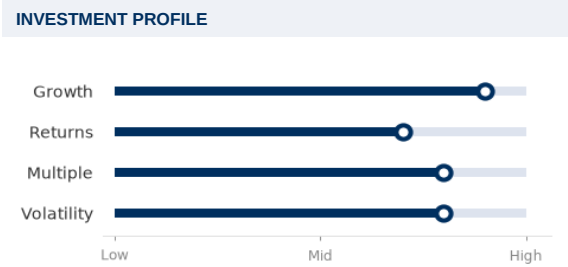
POLICY & POLITICAL WATCH

The CLARITY Act is the crypto bill to watch — it would create clear rules on which tokens are securities vs commodities, and if it passes, Robinhood can aggressively expand crypto offerings without legal risk. Right now it's stuck in the Senate, but the current SEC under a crypto-friendlier chair is doing the work administratively — approving products and pulling back on enforcement lawsuits. Also on the radar: the PFOF (payment for order flow — the way Robinhood makes money by routing your trades to market makers who pay them) rules the SEC floated in 2022 have been effectively shelved under this administration, which is a huge silent win for HOOD's revenue model.

IS IT EXPENSIVE?

At ~\$97B market cap on ~\$4.2B in expected 2026 revenue, investors are paying about \$23 for every \$1 of revenue — that's rich versus Schwab at around \$6 and Interactive Brokers at \$12. But HOOD is growing revenue 30%+ while the legacy guys grow single digits, and they're now profitable, so the premium is defensible if — and this is the key word — retail trading stays hot. If volumes normalize, this multiple compresses fast, which is why it's a volatile name.

Key Data	
Price (USD)	\$108.13
12M Price Target	\$125.00
Upside / (Downside)	+15.6%
Market Cap	\$97.22B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	58.4x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$122.00	\$112.00	\$95.00
6 Months	\$140.00	\$120.00	\$85.00
1 Year	\$165.00	\$125.00	\$75.00
2 Years	\$210.00	\$150.00	\$60.00
5 Years	\$320.00	\$220.00	\$55.00
10 Years	\$550.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+2.1%) and Healthcare (+1.3%) led today, but the more relevant story for HOOD is that crypto-adjacent names (Coinbase called out by WSJ this morning) are getting bid on the same regulatory tailwind.

COOLING OFF: Traditional Financials only up +0.9% and DOWN 1.2% on the week — money is flowing OUT of legacy banks/brokers and INTO the disruptors like HOOD.

ROTATION WATCH: Classic risk-on rotation happening — retail money is chasing high-beta names (crypto, meme stocks, small caps) rather than defensives, and HOOD is the picks-and-shovels play on that behavior.

RELATED PLAY: If HOOD's thesis works, Coinbase (COIN) and Interactive Brokers (IBKR) are the obvious second-derivative plays. COIN benefits from the same crypto regulatory thaw; IBKR gets the 23-hour trading tailwind without the meme-stock risk.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Same crypto regulatory tailwind — the SEC pulling back enforcement is manna from heaven for exchange operators.
- IBKR (Interactive Brokers): Beneficiary of extended trading hours push and rising options volumes among sophisticated retail.

HOOD CONTEXT: HOOD is LEADING its peer group by a wide margin — +13.7% in a day when Financials only moved +0.9% tells you this is a stock-specific story, not a sector wave. That's bullish short-term but means the stock is now carrying its own narrative — one bad print and it gives it all back.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'm not pounding the table at \$108 after a 14% day; the risk/reward was better at \$95.

POSITION SIZE: 3-5% of portfolio — this is a high-beta name that can move 30% in a month either direction, so size it like the volatile growth stock it is, not a core financial holding.

ENTRY POINTS: I'd wait for a pullback to \$95-100 to add — the options flow shows heavy call buying at \$106, so that level should hold as support on any dip.

TIME HORIZON: 12-24 months — the main catalysts are Q3 earnings in October and any CLARITY Act movement in Congress.

WHEN TO BAIL: If monthly active users decline two quarters in a row, or if retail trading volumes drop >30% sequentially, the thesis is broken.

HEDGING: Simplest hedge is to trim into strength — sell a quarter of your position on any 20%+ rally. If you want to get fancy, buy a cheap out-of-the-money put 3-6 months out as crash insurance (basically insurance that pays off if the stock tanks).